

Maintain Benefit in Kind (BIK)

User Guide

Access Limited Distribution

PeopleXD Payroll

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1. Document Control

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2. Introduction

2.1. Purpose of this Guide

This document provides guidance on how to maintain Benefit in Kind (BIK) at employee level in Payroll. This includes:

1. What is Benefit in Kind
2. Types of Benefits
3. Adding BIK
4. Edit BIK
5. Delete BIK

2.2. What is Benefit in Kind?

Benefits in Kind (BIK) are benefits which employees or directors receive from their employment, but which are not included in their salary or wages.

"Benefit in Kind" or "Payrolling Benefits" involves adding the cash equivalent of the employees' benefits to their pay and then taxing them through the payroll.

They include things like:

- Company cars.
- Private Medical Insurance.
- Cheap or free Loans.

BIKs are initially created as pay codes under *Settings > Codes > Pay Codes*.

Note:

For more information, see the *Maintain Pay Codes* user guide.

3. Maintain Benefit in Kind

3.1. Add a BIK

To add BIK at employee level:

1. Go to the **Payroll Dashboard**.
2. Go to **Employees**
3. *Search for the relevant employee and click **view**.*
4. Select **Benefit in Kind**.
5. Click **Add**.

John Marston
Payroll Dashboard > John Marston

Employee*
John Marston

Employee Reference No 000013
NI Number
Date of Birth 23-Jan-2000

Original Start Date 23-Jan-2016
Hours 34
FTE Hours 37.5

Latest Start Date 23-Jan-2016
Increment Date
Location Head Office

Search

Additional

Deductions

Pension

Benefit in Kind

Allowances

Benefit In Kind

Benefit	Start Date	End Date	Cost Centre	Project	Expense	Value	Reference
Company Car 3500	01-Apr-2018					3000.00	3500

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ADD

6. Complete the *Create BIK* screen.

Add BIK
Payroll Dashboard > John Marston > Add BIK

Add Benefit in Kind

Benefit Code*

Start Date* Reference Value

End Date

Applicable Pay Periods

Start Period End Period

Accounting Details

Cost Centre Project Expense

7. Select a **Benefit Code** from the drop-down menu. E.g. Company Car.

Add BIK
Payroll Dashboard > John Marston > Add BIK

Add Benefit in Kind

Benefit Code*

Company Car
Code 3500

Start Date* Reference Value

End Date

Applicable Pay Periods

Start Period End Period

Accounting Details

Cost Centre Project Expense

Selecting a Benefit Code automatically populates the *Reference* field.

8. Add a value for the BIK. This is a monetary value for the benefit.
9. Add a Start and End Date for the BIK record to apply to the employee.
10. Add Applicable Pay Periods. This may apply if you only wish to apply BIK for certain pay periods throughout the year.

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- Start Period
- End Period

11. Add Accounting Details. Select an option if the BIK is to be charged against one of the following:

- Cost Centre
- Project
- Expense

12. Click **Submit**.

John Marston
Payroll Dashboard > John Marston

Employee *
John Marston

Employee Reference No 000013
NI Number
Date of Birth 23-Jan-2000

Original Start Date 23-Jan-2016
Hours 34
FTE Hours 37.5

Latest Start Date 23-Jan-2016
Increment Date
Location Head Office

Search

Additional

Deductions

Pension

Benefit in Kind

Allowances

Cost Allocations

Temporary Reinstatement

Benefit In Kind

Benefit	Start Date	End Date	Cost Centre	Project	Expense	Value	Reference
Company Car 3500	01-Apr-2018					3000.00	3500

1 - 1 of 1

ADD

3.2. Edit a BIK

To edit a BIK entry for an employee:

1. Expand the **3-dot menu**.
2. Click **Edit**.

John Marston
Payroll Dashboard > John Marston

Employee *
John Marston

Employee Reference No 000013
NI Number
Date of Birth 23-Jan-2000

Original Start Date 23-Jan-2016
Hours 34
FTE Hours 37.5

Latest Start Date 23-Jan-2016
Increment Date
Location Head Office

Search

Additional

Deductions

Pension

Benefit in Kind

Allowances

Cost Allocations

Temporary Reinstatement

Benefit In Kind

Benefit	Start Date	End Date	Cost Centre	Project	Expense	Value	Reference
Company Car 3500	01-Apr-2018					3000.00	3500

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ADD

Edit

Delete

Notes

3. Overwrite the required information.

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Edit BIK

Payroll Dashboard > John Marston > Edit BIK

Edit Benefit in Kind

Benefit Code *
Company Car

Start Date * 01-Apr-2018 Reference 3500 Value 3000

End Date

Applicable Pay Periods

Start Period 1 End Period 56

Accounting Details

Cost Centre Project Expense

Car Details

New or Existing Car

4. Click **Submit**.

3.3. To Delete a BIK

1. Expand the **3-dot menu**.
2. Click **Delete**.

John Marston
Payroll Dashboard > John Marston

JM

Active

Employee *
John Marston

Employee Reference No 000013
Nil Number
Date of Birth 23-Jan-2000

Original Start Date 23-Jan-2016
Hours 34
FTE Hours 37.5

Latest Start Date 23-Jan-2016
Increment Date
Location Head Office

ACTIONS

Search

Additional

Deductions

Pension

Benefit in Kind

Allowances

Cost Allocations

Benefit In Kind

Benefit	Start Date	End Date	Cost Centre	Project	Expense	Value	Reference
Company Car	01-Apr-2018					3000.00	3500

1 - 1 of 1

Edit
Delete
Notes

ADD

3. Click **Yes**.

Delete

Are you sure you want to delete this?

NO

YES

4. Menu Options Required

Menu Option	System
Employee Dash - Benefit in Kind	CorePortal Pay